


# Payments Infrastructure-as-a-Service

The next generation of payments companies will be built on Finix

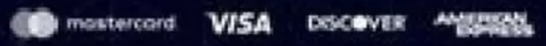
# Software Companies are Becoming Payments Companies

FINIX

# Payments Layer Cake

Examples

Fees




CARD NETWORKS

~15 BPS

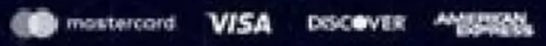
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# Payments Layer Cake

Examples

MERCHANT

Fees




CARD NETWORKS

~15 BPS

BUYER

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# Payments Layer Cake



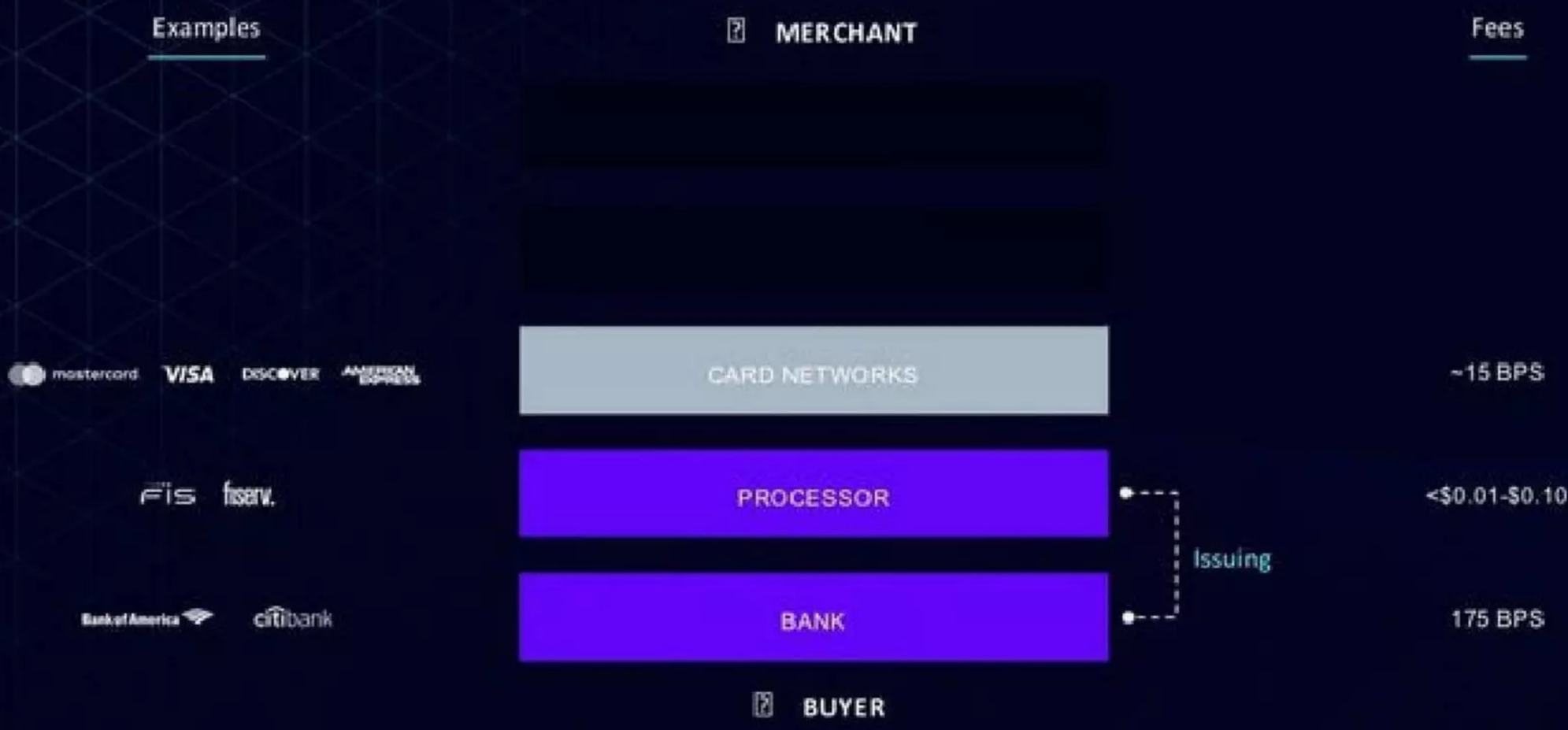

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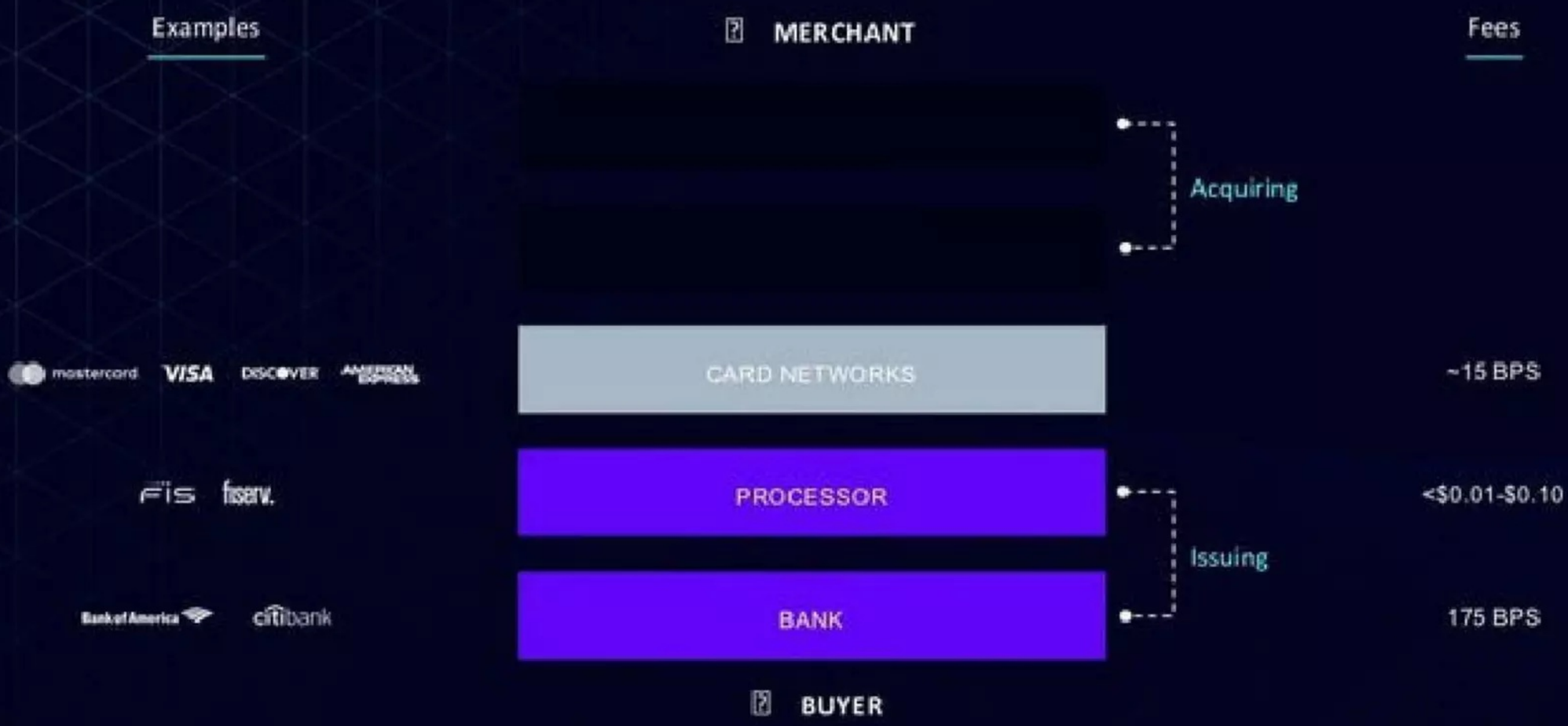

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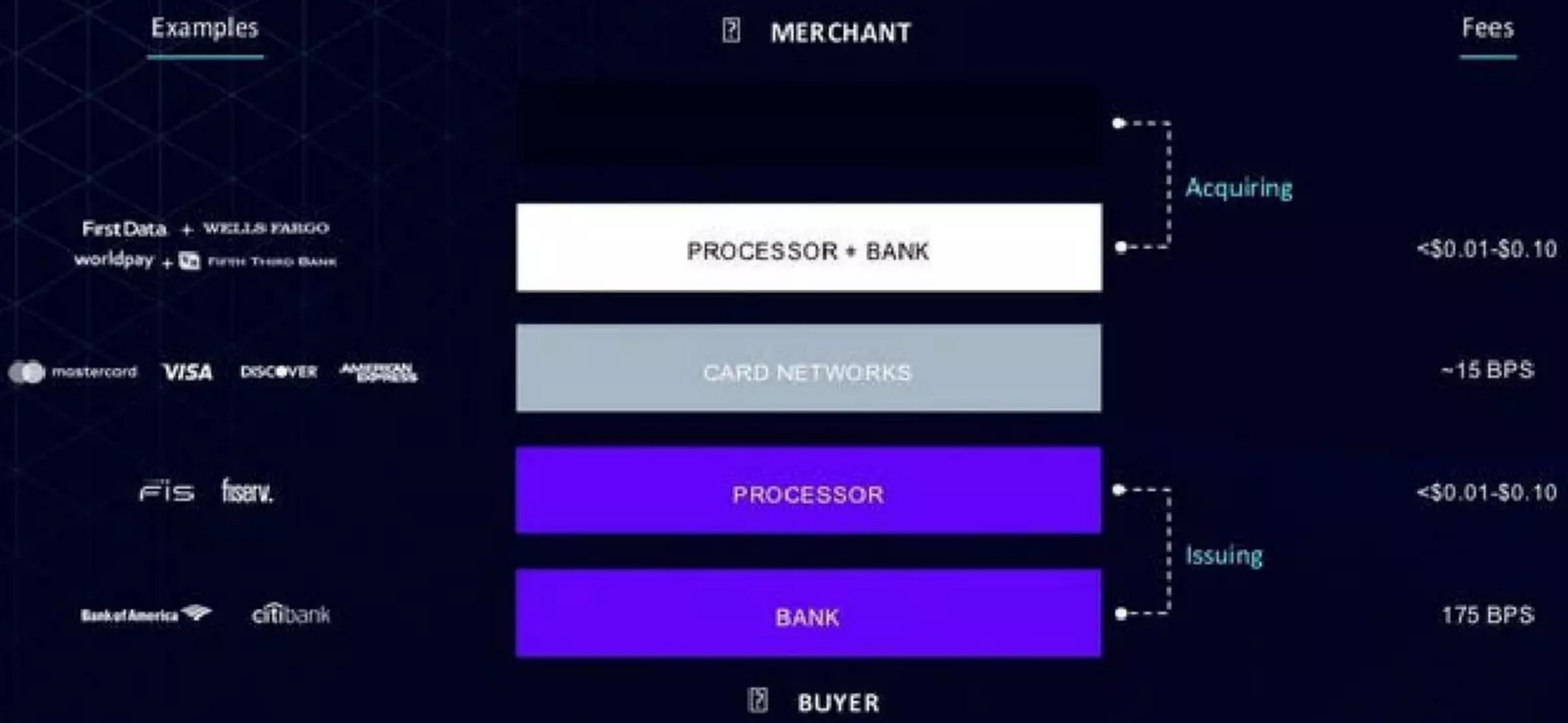

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# Payments Layer Cake



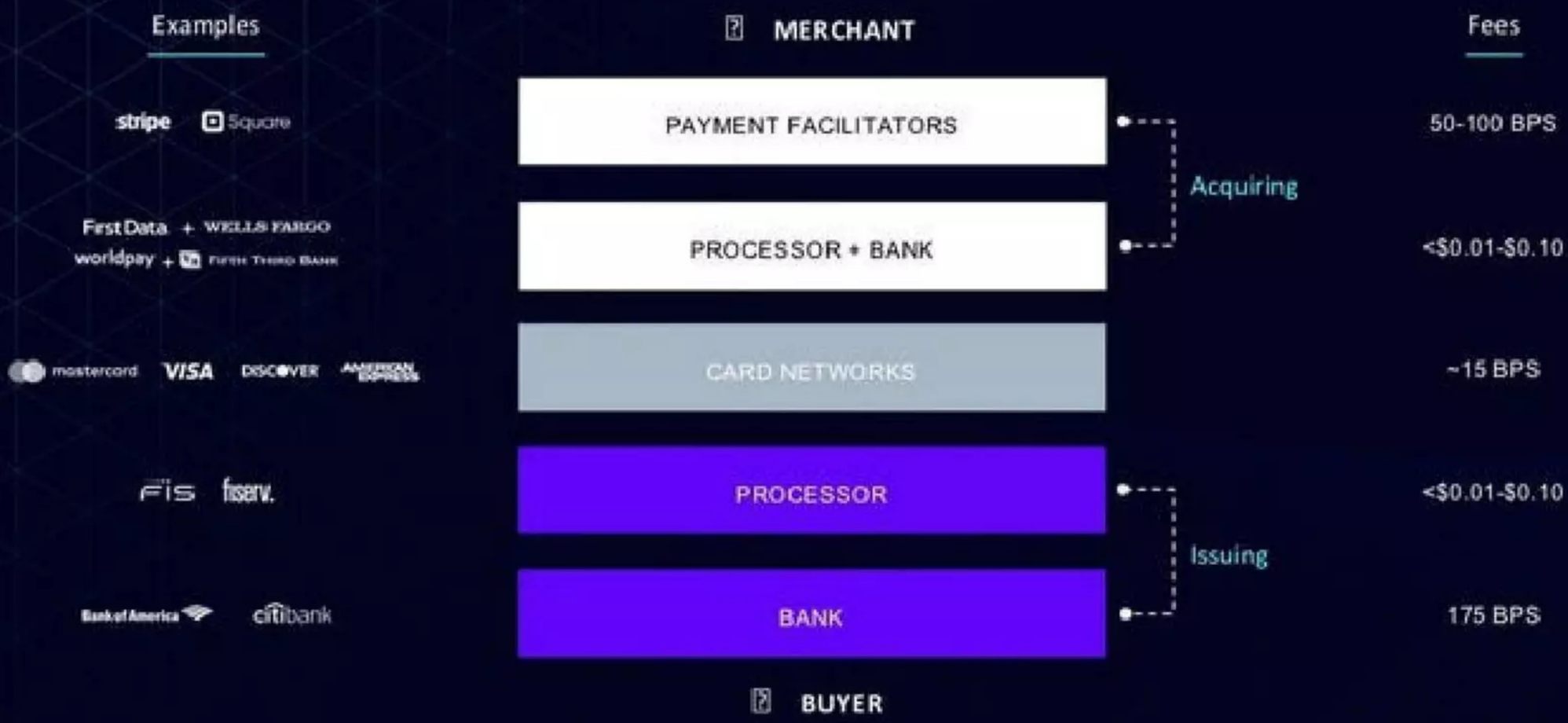

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# Payments Layer Cake




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# Payments Layer Cake




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# Finix enables companies to cut out the middleman and start monetizing payments

Examples

lightspeed CLUBESSENTIAL

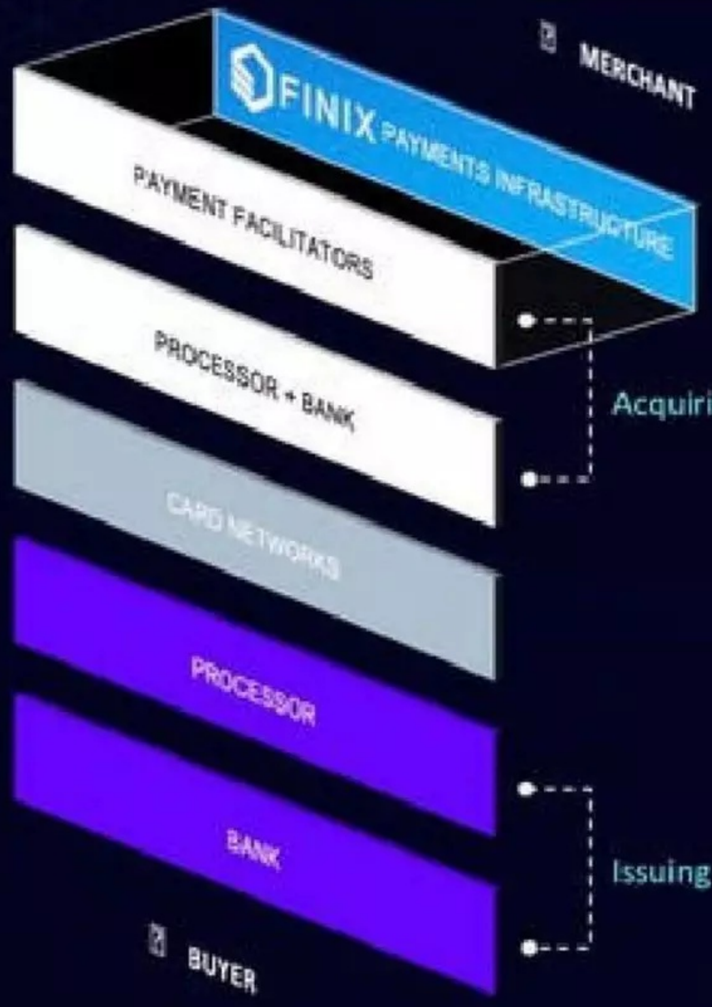
First Data + WELLS FARGO

worldpay + Fifth Third Bank

mastercard VISA DISCOVER AMERICAN EXPRESS

FIS fiserv.

Bank of America citibank




Fees

50-100 BPS

<$0.01-$0.10

~15 BPS

<$0.01-$0.10

175 BPS

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# Companies are forced to invest heavily in stitching together piecemeal vendor solutions and developing in-house tools, which is expensive



**$3-5M**

Upfront Investment



**2-3 Years**

Time-to-Market



**> $2M / yr.**

Ongoing Maintenance

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# Payments are the Product. Payments are Profit.

**Strategic Drivers**

**+$3M** Additional revenue per $100M processed

**3-4x** Increase in TAM compared to SaaS-only market [1]

**UX** Competitive advantage via single seamless payment solution

**Example SaaS Companies**

lightspeed

Kabbage

Passport Parking

CLUBESSENTIAL

1. JP Morgan report: J.P. Morgan North America Equity Research, Payments Market Share Handbook Tenth Edition

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# Distribution of payments via software is experiencing explosive growth

## -- 4x the rate of traditional providers




**30%** CAGR [2]

**$154B** in revenue by 2027

1. "Global Payments: The Interactive Edition." https://www.bcg.com, 11 Jan. 2019, Note: Excludes revenue from account balances, credit card spread, membership fees, and credit card penalties
2. Cowen Research, PayFac = Covfefe : Think Different., Embrace Software

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# Payments are moving from banks to software

Evolution of Payment Distribution




1. JP Morgan report: J.P. Morgan North America Equity Research, Payments Market Share Handbook Tenth Edition (edited)

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# Why?

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# Responsibilities in the payments stack are shifting from payments processors to software providers

Then / Now

Responsibilities

| TRADITIONAL PAYMENT PROCESSORS | SOFTWARE PROVIDERS |
| --- | --- |
| • Agreement with Card Network<br>• Integration to Card Network<br>• Capital Reserves<br>• Clearing & Settling<br>• Compliance<br>• Account Setup<br>• Merchant Underwriting<br>• Tokenization & Vaulting<br>• Risk Management<br>• Reporting & Reconciliation<br>• Dispute/Exception Mgmt.<br>• Settlement / Payouts<br>• Reporting Dashboards<br>• Customer Support Tools<br>• Merchant Sales | • Payment Forms<br>• Processor Integrations |

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Then / Now

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| TRADITIONAL PAYMENT PROCESSORS | SOFTWARE PROVIDERS |
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| • Agreement with Card Network<br>• Integration to Card Network<br>• Capital Reserves<br>• Clearing & Settling | • Payment Forms<br>• Processor Integrations<br>• Compliance<br>• Account Setup<br>• Merchant Underwriting<br>• Tokenization & Vaulting<br>• Risk Management<br>• Reporting & Reconciliation<br>• Dispute/Exception Mgmt.<br>• Settlement / Payouts<br>• Reporting Dashboards<br>• Customer Support Tools<br>• Merchant Sales |

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# Finix's payments platform reduces cost, increases flexibility, and accelerates time to market




**FINIX MODULES**

- Payment Forms
- Processor Integrations
- Compliance
- Account Setup
- Merchant Underwriting
- Tokenization & Vaulting
- Risk Management
- Reporting & Reconciliation
- Dispute/Exception Mgmt.
- Settlement / Payouts
- Reporting Dashboards
- Customer Support Tools

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# Finix allows companies to bring payments in-house even sooner

- **$50M+** in Annual GMV *(and Finix is lowering the threshold even further with Flex)*
- **100+** Merchants, Vendors, etc.
- Any company with a payment residual stream
- In one of the following categories:

Examples

| Ecommerce | Billing | Fundraising | Booking | Travel/Ticketing | On-demand | Marketplace |
|---|---|---|---|---|---|---|
| • Shopify | • Freshbooks | • Kindrid | • Boulevard | • Cvent | • Uber | • Letgo |
| • Squarespace | • Chargebee | • GoFundMe | • RITUAL | • Airbnb | • DoorDash | • Vinted |

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